QUIDEL SECOND QUARTER 2020
CONFERENCE CALL SCRIPT
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OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation Second Quarter 2020 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and chief executive officer, Doug Bryant, and Randy Steward, our Chief Financial Officer.

Our second quarter 2020 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on July 30th, for a period of 24 hours.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws, including our anticipated revenues for Q3 2020. Forward-looking statements by their nature involve material risks, assumptions and uncertainties. In particular, our expectations and assumptions around the impact of the COVID-19 pandemic on our business, results of operations and financial condition and that of our suppliers, customers and other business partners are uncertain and subject to change. Many possible events or factors could affect our future financial results and performance, such that our actual results and performance may differ materially from those in the forward-looking statements. For a discussion of such factors, please review Quidel's most recent annual report on Form 10-K, including the section titled "Risk factors", registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, July 30, 2020.

Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three and six months ended June 30, 2020. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to take your questions.

I'll now hand the call over to Doug for his comments.

DOUG BRYANT

Thank you Ruben, and good afternoon everyone. Thank you for joining us today. I hope that you and your families are well and safe. These times have been challenging for everyone. Despite the country's efforts to deliver more testing, there is still a considerable backlog for sample processing, especially in central labs, accounting for the long period of time between sample to result, typically taking between 5-7 days. Obviously, getting a COVID-19 test result a week later is not helpful, and not conducive to the test and contact trace process that is needed to flatten the curve and reduce the healthcare burden that we are seeing in hotspots across the country. And so, we believe that expanding access to affordable, highly accurate and timely diagnostic testing is the key to flattening the curve. At Quidel, we're doing our part to help address the need for COVID-19 testing in 4 ways: first, using our Lyra and Lyra direct molecular tests to help remove the sample bottlenecks in highly complex laboratories with established testing infrastructure; second, by offering a fast, front-line test with best-in-class accuracy at the point-of-care to our traditional and non-traditional channels; third, by securing our supply chain and scaling up our test manufacturing and distribution for both our molecular and rapid tests by over 100%; and fourth, by developing multi-analyte COVID-19 test panels to help diagnose co-infections, rule-out flu and other illnesses, and increase overall test manufacturing scale.

Before we get into the quarterly results, I'd like to say that we're proud of what we as an organization have accomplished in such a short amount of time. Over the last quarter, our people, a good portion of which are still working from home, have shown the positive, nimble, can-do spirit that is the hallmark of Quidel's culture, and together, we are doing our part to help provide answers to the most vulnerable. Quidel's second quarter results largely reflect the collective efforts of our people and offer a glimpse of what our company is capable of achieving, even in the midst of a pandemic.

Consistent with our pre-announcement, revenue for the second quarter of 2020 was $201.8 million dollars, driven by growth in our Rapid Immunoassay and Molecular categories as a result of higher sales for our COVID-19 products, which totaled $109 million dollars in the quarter. We saw good demand for our 2 PCR assays, which received EUA in March and May, and very strong demand for our Sofia Antigen rapid point-of-care test, which received EUA in May.

Importantly, we were able to satisfy some of the need for RT-PCR testing in highly complex labs by ramping up the manufacture of our Lyra assay to approximately 500,000 tests per week. As some of you might recall, our Lyra assays can be run on several thermal cycling platforms, including the ABI 7500 Standard, the ABI 7500 Fast, Qiagen's Rotor-Gene Q, the Roche LC480, and QuantStudio7Pro, which allows us to be very helpful to customers who may prefer sample-to-answer methodologies but may not always receive the volume of reagents they require. We expect this trend to continue, seeing increasing demand through the end of the year.

Demand for our Sofia rapid antigen point-of-care test continues to be strong, sustained, and frankly, more than we can satisfy. At the moment, customers are ordering a multiple of what they had expected as the product's outstanding performance is enabling an expansion of use-cases for the product. Since receiving the first EUA for an antigen test in early May, we have been on allocation, partially fulfilling customer orders even as we continue to ramp up production to the levels we had forecasted. We anticipate continued growth over the coming months and are actively working to increase our manufacturing scale by expanding facilities, hiring additional personnel, and asking more of our supply chain.

During the quarter, we also made good progress with our product pipeline, especially as it relates to diagnosing COVID-19. Currently under development is our Sofia Serology assay that we believe could provide better clinical utility than the current tests in-market. Also under development is our Sofia Influenza A+B and SARS Antigen rapid point-of-care combination test, which will provide healthcare workers with all three results. Because the assay uses the same manufacturing lines as our Sofia flu and Sofia Antigen tests, the combo test can potentially increase our manufacturing capacity, especially as we enter into the crucial winter months, when the potential for co-circulating SARS-CoV-2 and influenza could further strain our healthcare system. Additionally, we are collaborating with BARDA to develop a 4-analyte Sofia rapid point-of-care test that includes Influenza A+B, SARS Antigen, and Respiratory Syncytial Virus (RSV) that we believe could help in addressing the nation's testing shortage at the point-of-care.

All key non-COVID product development projects have remained on-track. We plan on submitting 510(k) packages for Sofia Strep98 and C. Difficile to the FDA in the fall. With respect to TroponinTru, our hs-troponin product, we continue our discussions with the FDA, and are designing a clinical strategy for our clinical trial, which we expect to start before year-end. Regarding Savanna, work continues on the instrument, with the first trial planned for early next year. Regarding the Savanna cartridge, we plan to complete a high-volume cartridge evaluation in mid-August, using the six assays that are part of the near-launch menu. Goal of the study is to receive final proof that the performance of the cartridge with integrated assays is optimal. Industrial design for user interface cartridge features is to be completed by end of August. On the manufacturing side, cartridge high-throughput production and assembly automation lines are under development, with the first automated modular manufacturing and assembly lines expected to be operational by November 2020.

With regard to the Savanna instrument, we're assembling 19 prototype builds that will very closely resemble the commercial instrument by means of functionality, performance, size and appearance. Once the instrument performance is evaluated, minor refinements will lead to the prototype version, which will be used during the clinical trials. So in summary, the Savanna instrument and cartridge development activities are continuing according to schedule.

In summary, Q2 was another typically productive quarter for us, augmented by significant demand for our COVID products, which is terrific in terms of our financial performance, but at the same time, we recognize the difficulty all this growth is creating for analysts trying to model revenue and EBITDA over the next few quarters. Historically, we've not provided quarterly or annual guidance, but the variability in forecasts and expectations suggests that a revenue floor that reflects a high confidence of achievement might be useful. Therefore, based on the current demand for our antigen test, good visibility in our ordering patterns for our Lyra SARS-CoV-2 assays, and assuming minimal supply chain disruptions, we are confident that third quarter revenue will be at least $375 million dollars.

In all, we had a strong quarter, and are confident in our business outlook. Through the hard work and perseverance of our 1,300 people across the globe, a good number of which are still working from home, we are well-positioned to change lives for the better by expanding access to highly accurate, affordable diagnostic testing to our communities. We are proud of what we've accomplished thus far, and look forward to contributing to the re-opening of our country.

Randy?

RANDY STEWARD

<u>Second Quarter Financial Results</u>

Thank you, Doug. Good afternoon everyone. As Doug stated, we had a very strong quarter that exceeded even our own key performance metrics. We will continue to keep focused on servicing our customers, ramping up our production capacity as diligently as possible, investing in future product development while continuing to utilize our cash wisely.

As we reported earlier today, total revenues for the second quarter of 2020 were $201.8 million dollars, as compared to $108.3 million dollars in the second quarter of 2019. The 86% increase in revenue was driven by significant demand for our products that diagnose COVID-19. This revenue growth was partially offset by declines in demand for the Cardiometabolic and Specialized Diagnostic Solutions product categories. Foreign currency impact was minimal, at $0.6 million dollars in the quarter.

Rapid Immunoassay product revenues increased $58.8 million to $80.6 million dollars in the second quarter of 2020. Within this category, Sofia products grew $63.6 million to $75.2 million dollars due to $56.3 million dollars in Sofia SARS Antigen sales. QuickVue product revenues decreased $3.9 million to $5.0 million dollars. For the total Rapids business, 70% growth in Influenza was offset by reduced demand for Strep A, down 60%, and pregnancy products, down 48%, due to decreased office visits associated with the COVID-19 pandemic. The Influenza Rapid Immunoassay revenue was $15.8 million dollars, with approximately 86% of that revenue derived from the Sofia platform.

For the Cardiometabolic Immunoassay business, revenue was $54.2 million dollars, a 20% decrease versus the second quarter of 2019. In constant currency, the decrease was 19%. Of the $54.2 million dollars in Cardiometabolic revenue, $28.2 million dollars were derived from the Triage business, and $26.0 million dollars from the Beckman BNP business. The revenue decline was realized in all three major geographies, as patients with chest pain either would not or could not visit traditional testing centers as a result of the coronavirus pandemic. We believe this downward trend should improve over the next several quarters.

Revenue in the Specialized Diagnostic Solutions category decreased 18% in the second quarter to $11.8 million dollars.

Our Molecular Diagnostic Solutions category increased $51.0 million dollars in the quarter to $55.2 million dollars, driven by $52.7 million dollars in sales of our Lyra SARS-CoV-2 product, which was granted EUA by the FDA on March 17th, and our Lyra Direct SARS-CoV-2 product, which was granted EUA on May 18th.

Total Influenza revenue, which includes Rapid Immunoassay, DHI Respiratory and Molecular Diagnostics, grew 44% in the quarter to $18.7 million dollars.

Gross Profit in the second quarter of 2020 increased $89.6 million dollars to $148.8 million dollars, driven by the demand for the SARS-CoV-2 assays, which drove improved product mix. In addition, higher volumes contributed to increased manufacturing overhead absorption. Gross profit margin in the second quarter of 2020 improved to 74%.

In the quarter we realized a significant improvement in our profitability profile. Over the short term, we do not incur material variable operating cost increases, thus in quarters where we realize significant revenue and gross profit growth, we see a large portion of the gross profit dollars roll into operating income. In the second quarter, our total operating expenses measured as a percent of revenue declined by 17 percentage points versus last year to 32% percent of revenues, helping improve our operating income in the quarter to 41% of revenues. We see this trend continuing into the third and fourth quarters as well.

We are increasing our R&D spend this year as we continue to invest in additional covid-19 assays, our Savanna project, new Sofia assays and next generation platforms, such as our internally named project Sniffles. We will also continue to invest in our S&M organization as we expand our customer base and profile. For the full year, we are currently estimating our R&D spend to be in the range of $70-$75 million. Our G&A spend for the full year should be in the range of $60-$65 million.

As it relates to the provision for income taxes, we recorded $12.5 million in income tax provision in the quarter, and the effective tax rate was 16%. From the federal statutory tax rate of 21%, the difference in the effective tax rate was primarily a result of discrete tax benefits recorded for excess tax benefits of stock-based compensation. We are currently estimating a full year effective tax rate between 21% and 22% due to the increase in pre-tax income versus prior years.

As of the end of June, we had $72.6 million in cash and cash equivalents. During the second quarter, the company generated almost $60 million in cash flow from operations. This number would have been even larger had it not been for the approximately $43 million dollar investment in Accounts Receivable and Inventory as we accelerate our growth and ramp to support increased production of SARS assays. In the quarter, the company also invested $7.5 million in capital expenditures. In April, we made the third annual Abbott payment of $48 million, and now have $136.0 million dollars remaining on the deferred and contingent consideration that will be paid over the next 3 years. Also in the quarter, we repurchased approximately 247,000 shares of Quidel stock for $42.2 million dollars.

We have no outstanding balance on our $175 million-dollar Revolving Credit Facility, and only $13 million remaining in Convertible Bond Debt, maturing this December. In short, we have minimal debt, access to credit, and good cash flow, which places us in a good position to support our future initiatives. Those initiatives include increasing our R&D investment, strengthening and expanding our supply chain, ramping up our manufacturing capacity, and pursuing M&A.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

<u>Q&A</u>

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had a strong second quarter, and we're in good shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.